

Standard Cost and Purchasing Performance Measurement

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REPORTING: PPV

Each month, each BU will report its total PPV, with breakdown between PPV Standard Net, PPV Invoice Net and PPV Forex.

Each Buyer shall analyze on a monthly basis the top items (favourable and unfavourable) of both the PPV Standard Net and the PPV Invoice Net.

As previously expressed, Factory Management will have to focus his efforts on PPV STD NET and PPV INVOICE NET while forex impact is mainly driven by evolution of the currencies and medium and long term strategy in coordination with TLD group global approach on Forex related issues and opportunities.

The reporting file is made in accordance with the above definition and is based on a full calendar month in order to match the monthly financial reporting. However, it is recommended that a few days prior to month end, Purchasing makes an analysis of the main anomalies and communicate them to Finance before month end for integration in the project values.

The YTD TOTAL PPV NET will be compared monthly with the budgeted PPV.

Important note:

The results of the cost reduction actions on existing items shown during budget process have to be reported in a dedicated file. We are perfectly aware that any change in design, any PN replacing an old one are not tracked by PPV but by SIM (see below).

SIM

The SIM function in BaaN enables to get the cost of a given configuration, based on its updated BOM and on the Current Price @ current month rate (from Item Data) of each P/N.

The SIM does include FIR rate (s) but not and MBR rate.

Case of FIR rate (s) and MB rate are separately defined in BaaN ¹

- in case of multiple vendors (and multiple Current Prices) for a given P/N, the SIM will use the addition of current price as defined in the standard cost definition (see TLD Group definition) with the FIR value related to this vendor.
- for manufactured sub-part of a unit, the SIM code shall be configured in order to take only the material cost + FIR. If this sub-part is outsourced, then it shall also include the outsourced labour (Outside Processing Cost).

Each BU shall define at the beginning of each year a number of configurations that it will follow on a monthly basis. A report has been developed from BaaN in order to have an easy excel follow-up that splits each BOM into sub-level and each sub-level into its list of P/N. With this spreadsheet, there is an easy way

¹ Temporary exception if the FIR and the MBR are combined in BaaN into one single rate (temporary situation until implementation of Group policy):

- in case of multiple vendors (and multiple Current Prices) for a given P/N, the SIM will use the current price as defined in the standard cost definition (see TLD Group definition),
- for manufactured sub-part of a unit, the SIM code shall be configured in order to take only the material cost. If this sub-part is outsourced, then it shall also include the outsourced labour (Outside Processing Cost).

easy way of monitoring the cost evolution of each sub-level and each P/N.

SIM evolution should reflect also the results of the budgeted cost reduction action plan and for each equipement followed by SIM, a year end budgeted target should be defined in accordance with the budgeted cost reduction.

SIM is also impacted by currency rate evolution.

Conclusion

PPV STD NET is tracking pure purchasing performance

PPV INVOICE NET is tracking either the deviation linked to the supplier or sometimes purchasing price evolution based on raw material index

SIM on current price is measuring the BOM cost evolution and it eases to measure the contribution of the engineering in cost reduction.

PPV is not measuring standard cost adjustment but SIM is based on current price and will be impacted as soon as the current price is updated.

SIM is a reactive tool to control supplier price evolutions and currency evolution impact.